BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 35/BB/2018
U/s 230-232 of the Companies Act, 2013

In the matter of

AIG DATA SERVICES PRIVATE LIMITED,
5th Floor, Crescent 4, Prestige Shantiniketan,
Whitefield,
Bengaluru –560 048.-

Petitioner Company No.1/
Transferor Company.

AND

AIG ANALYTICS & SERVICES PRIVATE LIMITED
5th Floor, Crescent 4, Prestige Shantiniketan,
Whitefield,
Bengaluru – 560 048.-

Petitioner Company No. 2/
Transferee Company.

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

Date of Order: 19th November, 2018

For the Petitioner/s : Shri C.R Muralidharan, Advocate

O R D E R

Per: **Rajeswara Rao Vittanala, Member (Judicial)**

1. C.P (CAA) No. 35/BB/201 filed **by AIG Data Services Private Limited (Transferor Company) AIG ANALYTICS & SERVICES Pvt Ltd.** under 230-232 of the Companies Act, 2013 inter-alia seeking to sanction between them so as to be binding on all its shareholders and creditors and all concerned and consequently dissolve the Transferor Company etc.,
2. Brief facts of the case, which are relevant to the issue in question, are as follows:

1) AIG Data Services Pvt. Ltd.(Transferor Company) was incorporated on November 22, 2013 as a private company limited by shares with the Registrar of Companies, Karnataka, Bangalore, under the name "AIG Data Services Private Limited" with Corporate Identity No. U72900KA2013FTC072059. Its Registered office is situated at 5th Floor, Crescent 4, Prestige Shantiniketan, Whitefield, Bengaluru – 560 048. Its authorized share capital is Rs. 60,50,00,000/- (Rupees Sixty Crores and Fifty Lakhs Only) divided into 6,05,00,000 (Six Crores and Five Lakhs) Equity Shares of Rs.10/- (Rupees Ten Only) each. The present issued, subscribed and paid-up share capital is Rs. 1,26,040/- (Rupees One Lakh Twenty Six Thousand and Forty Only) divided into 12,604 (Twelve Thousand Six Hundred and Four) Equity Shares of Rs. 10/- (Rupees Ten Only) each, as on April 25, 2018. The main objects of the Petitioner Company in brief are carry on the business of providing information technology enabled services of all description in connection with any industry including electronic data processing and data analysis services etc

As per the latest unaudited and provisional Financial Statements of the Company comprising of the Profit and Loss Account for the period ending February 28, 2018 and the Balance Sheet as on February 28, 2018, the assets and liabilities is as under:

I. EQUITY AND LIABILITIES	(in Rupees)
Shareholders' funds	
Share Capital	1,26,040
Reserves and surplus	87,43,16,333
	87,44,42,373
Non-current liabilities	
Long term provisions	-
	-

Current liabilities	
Trade payables	
- Total outstanding dues of micro enterprises and small enterprises	-
- Total outstanding dues of creditors other than micro enterprises and small enterprises	49,98,122
Other current liabilities	31,268
Short term provisions	20,44,293
	70,73,683
TOTAL	**88,15,16,056**
II. ASSETS	
Non-current assets	
Fixed assets	
- Tangible assets	-
- Intangible assets	-
Assets held for sale	2,29,13,423
Deferred tax assets	2,09,32,714
Long term loans and advances	6,30,64,464
Other non-current assets	-
	10,69,10,601
Current assets	
Trade receivables	1,95,17,478
Cash and bank balances	75,13,50,630
Short term loans and advances	6,04,299
Other current assets	31,33,048
	77,46,05,455
TOTAL	**88,15,16,056**

2) AIG ANALYTICS & SERVICES PRIVATE LIMITED(The Petitioner Company No. 2/ Transferee Company) was originally incorporated on October 27, 2009 as a private company limited by shares under the name "CHARTIS INSURANCE SERVICES

PRIVATE LIMITED", with its registered office situated in the State of Maharashtra as per the certificate of Incorporation issued by the Registrar of Companies, Maharashtra, Mumbai. The Company had subsequently altered the provisions of its Memorandum of Association with respect to the place of its Registered Office by changing it from the State of Maharashtra to the State of Karnataka and the alteration was confirmed by an order of the Regional Director (Western Region), Ministry of Corporate Affairs, Mumbai, dated August 05, 2014; and a Certificate of Registration of the Regional Director Order for Change of State confirming transfer of the Registered Office of the Petitioner Company No. 2/ Transferee Company to the State of Karnataka, with Corporate Identity No. U74990KA2009PTC076432, was issued by the Registrar of Companies, Karnataka, Bangalore, on September 18, 2014.

The name of the Petitioner Company No. 2/ Transferee Company was changed from "Chartis Insurance Services Private Limited" to "AIG Analytics & Services Private Limited" and consequently, a Certificate of Incorporation pursuant to change of name was issued by the Registrar of Companies, Karnataka, Bangalore, on March 25, 2015. The registered office of the Petitioner Company No. 2/ Transferee Company is situated at 5th Floor, Crescent 4, Prestige Shantiniketan, Whitefield, Bengaluru – 560 048.

The main objects of the Petitioner Company No. 2/ Transferee Company is to carry on the business of offering sophisticated risk management advisory and consulting services to companies in the insurance, reinsurance and financial services industries, including but not limited to, catastrophe risk analysis, property risk analysis, terrorism risk analysis, dynamic financial analysis, actuarial analysis, rating

agency analysis and regulatory and tax planning for all lines of business. Its authorized share capital of the Petitioner Company No. 2/ Transferee Company is Rs. 82,50,00,000/- (Rupees Eighty Two Crores and Fifty Lakhs Only) divided into 8,25,00,000 (Eight Crores and Twenty Five Lakhs) Equity Shares of Rs. 10/- each and issued, subscribed and paid-up share capital is Rs. 42,52,09,480/- (Rupees Forty Two Crores Fifty Two Lakhs Nine Thousand Four Hundred and Eighty Only) divided into 4,25,20,948 (Four Crores Twenty Five Lakhs Twenty Thousand Nine Hundred and Forty Eight) Equity Shares of Rs. 10/-each, as on April 20, 2018.

As per the latest unaudited and provisional Financial Statements comprising of the Profit and Loss Account for the period ending February 28, 2018 and the Balance Sheet as on February 28, 2018, the assets and liabilities of the Petitioner Company No. 2/ Transferee Company are as under:

I. EQUITY AND LIABILITIES	(in Rupees)
Shareholders' funds	
Share Capital	42,52,09,480
Reserves and surplus	33,12,39,186
	75,64,48,666
Non-current liabilities	
Other long term liabilities	-
Long term provisions	6,41,64,132
	6,41,64,132
Current liabilities	
Trade payables	
- Total outstanding dues of micro enterprises and small enterprises	-
- Total outstanding dues of creditors other than micro enterprises and small enterprises	2,27,04,348
Other current liabilities	8,75,85,259
Short term provisions	94,38,160
	11,97,27,767
TOTAL	**94,03,40,565**

II. ASSETS	
Non-current assets	
Fixed assets	
- Tangible assets	7,75,24,373
Deferred tax assets (net)	8,02,62,206
Long term loans and advances	16,82,92,167
Other non-current assets	1,30,55,611
	33,91,34,357
Current assets	
Trade receivables	34,67,41,813
Cash and bank balances	22,15,23,088
Short term loans and advances	3,24,80,021
Other current assets	4,61,286
	60,12,06,208
TOTAL	**94,03,40,565**

3) It is stated that the Board of Directors of the Petitioner Companies at their meeting held on 25th April 2018, and 19th April, 2018, respectively have accorded their consent and approval to the proposed Scheme of Amalgamation and Arrangement, by virtue of which, AIG DATA SERVICES PRIVATE LIMITED, the Petitioner Company No. 1/ Transferor Company, is proposed to be merged and amalgamated with AIG Analytics & Services Private Limited, Petitioner Company No. 2/ Transferee Company, subject to sanction and confirmation of this Tribunal.

4) The Petitioner Company No. 1/ Transferor Company and the Petitioner Company No. 2/ Transferee Company are both group companies ultimately owned by a common parent entity, American International Group, Inc. They are both group companies under the same management and ultimately having common control. Therefore, both the Board of Directors of both the Companies are of the opinion that if the Petitioner Company

No. 1/ Transferor Company is merged with the Petitioner Company No. 2/ Transferee Company, it would be beneficial and profitable to merge the resources of both the companies and to operate as a single entity for providing IT enabled services to its group entities.

5) If the Scheme of Amalgamation and Arrangement is approved by this Hon'ble Tribunal, the amalgamated company will be benefited; and that the reasons which have necessitated and which justify the proposed Scheme of Amalgamation and Arrangement, *inter alia*, are as follows:

(i) Both the Companies ultimately held by a common parent entity and under the same management and having common control and are engaged in similar line of business. The merger of both the companies would result in creating a single entity for providing IT enabled services to its group entities. It would help to minimize the costs of operation and would also help to streamline operations.

(ii) The amalgamation will result in various benefits including being able to garner the benefits arising out of lower operating costs, pooling of the human talent in terms of manpower, management and administration which would result into savings of costs, combined capital resources, eliminate duplication of work in areas like accounts, company law and tax assessments, common administrative services, reduction in regulatory/ procedural compliances and accordingly lead to synchronization of efforts to achieve uniform corporate policy and ease in decision making at the group level.

(iii) Both the Companies are engaged in similar business activities and hence the infrastructure facilities of both the companies could be pooled together for the benefit of

the amalgamated company. The amalgamated Company will then be able to function as one single unit with the focus of management entirely on the amalgamated company.

(iv) The proposed Scheme of Amalgamation and Arrangement will result in better operational energy in terms of benefits, common licenses, reduction of administrative work and considerable reduction of overheads. It will result in economies of scale including reduction in overhead expenses, efficient and more productive utilization of employees, streamlined distribution of services and elimination of duplicate services and operations. It will result in a stronger capital base which will enable the amalgamated company to realize resources to meet the requirements for further growth.

(v) The Scheme in question will enable both companies to rationalize and streamline their management, business and finance and eliminate duplication of work to their common advantage. It will be beneficial not only for the Companies but also their shareholders, creditors, employees and all stakeholders.

6) Upon the Scheme of Amalgamation and Arrangement becoming operative and effective and in consideration of the amalgamation of the Companies, the Petitioner Company No. 2/ Transferee Company shall, without any further application, act, instrument or deed, issue and allot Equity Shares, credited as fully paid-up, to the extent indicated below, to the members of the Petitioner Company No. 1/ Transferor Company holding fully paid-up Equity Shares in the Petitioner Company No. 1/ Transferor Company and whose names appear in the Register of Members of the Petitioner Company No. 1/ Transferor Company

as on the Record Date, or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the Board of Directors of the Petitioner Company No. 1/ Transferor Company, in the following proportion;

> *"For every 1 (One) Equity Share of Rs. 10/- each held in the Petitioner Company No. 1/ Transferor Company, 2,525.51 (Two Thousand Five Hundred and Twenty Five point Five One) Equity Shares of Rs. 10/- each credited as fully paid-up of the Petitioner Company No. 2/ Transferee Company."*
>
> Accordingly, the Petitioner Company No. 2/ Transferee Company shall issue and allot a total of 3,18,31,528 (Three Crores Eighteen Lakhs Thirty One Thousand Five Hundred and Twenty Eight) Equity Shares of Rs. 10/- each fully paid-up of the Petitioner Company No. 2/ Transferee Company to the Equity Shareholders of the Petitioner Company No. 1/ Transferor Company, as stated above. The certified true copy of the Share Valuation Reports dated April 18, 2018 issued by M/s. Guru & Jana, Chartered Accountants, indicating the fair value of the Equity Shares of the Petitioner Company No. 1/ Transferor Company as also the fair value of the Equity Shares of the Petitioner Company No. 2/ Transferee Company, respectively, as on February 28, 2018; and determining the Share Exchange Ratio for the proposed Amalgamation of the Petitioner Company No. 1/ Transferor Company with the Petitioner Company No. 2/ Transferee Company accordingly.

7) The proposed amalgamation is sought to be made under the provisions of Sections 230 to 232 of the Companies Act, 2013 and the same will become operative with effect from the appointed date, viz., 1st April, 2017. The entire undertakings, assets and liabilities of the Petitioner Company No. 1/ Transferor Company will be taken over by the Petitioner Company No. 2/ Transferee Company with effect from April 01, 2017, viz., the Appointed Date as defined in the Scheme of Amalgamation and Arrangement.

8) It further is stated that the Petitioner Company No. 1/ Transferor Company is a closely held company presently having 2 (Two) Equity Shareholders holding Equity Shares and is a subsidiary of AIG Technologies, Inc., a company incorporated under the laws of the United States of America. Equity Shareholders of the Companies have accorded their consent / no-objection, in writing, to the instant Scheme of Amalgamation and they do not have any Secured Creditors or Unsecured Creditors as on April 25, 2018.

9) The Petitioner Company No. 2/ Transferee Company is a closely held company presently having 2 (Two) Equity Shareholders holding Equity Shares and is a subsidiary of AIG PC Global Services Inc., a company incorporated under the laws of the United States of America. Equity Shareholders of the Petitioner Company No. 2/ Transferee Company have accorded their consent/no-objection, in writing, to the Scheme of Amalgamation. The Petitioner Company No. 2/Transferee Company has no Secured Creditors as on April 20, 2018; and the Petitioner Company No. 2/ Transferee Company has only 1 (One) Unsecured Creditor as on April 20, 2018 and the said sole Unsecured Creditor of the Petitioner Company No. 2/ Transferee Company had accorded its consent / no-objection, in writing, to the Scheme of Amalgamation. Apart from the above, the Petitioner No. 2/ Transferee Company has no other secured or unsecured creditors.

10) It is further stated that Tribunal by its Order dated 10.05.2018 passed in CA (CAA) No. 28/BB/2018 has already dispensed with convening of the meeting of the Equity Shareholders of the Petitioner Company No. 1/ Transferor Company; and to dispense with convening of the

meetings of the Equity Shareholders and the sole Unsecured Creditor of the Petitioner Company No. 2/ Transferee Company.

11) The Company Auditor of the Petitioner Companies has issued a certificate confirming that the Accounting Treatment in the Scheme of Amalgamation is in compliance and conformity with the applicable Accounting Standards as specified under Section 133 of the Companies Act, 2013. And a certificate also filed along with application. And the sanctioning of scheme will not in any way violate, override or circumscribe any provision of the Companies Act, 1956 and/ or the Companies Act, 2013 and the rules and regulations framed there under respectively and as applicable.

12) It is declared that there are no investigation or proceedings pending under Sections 235 to 251 of the Companies Act, 1956 and/or under Sections 210 to 229 of the Companies Act, 2013 or other provisions of the Companies Act, 2013 in relation to the Petitioner Companies.

13) Heard Shri C.R Muralidharan, the learned Counsel for Petitioner Companies; Shri C. Lakshmappa, Representative for the Registrar of Companies; Shri Pramod Kumar, Representative for the Official Liquidator. And also carefully perused all the pleadings of both the parties including material papers filed in their support and extant provisions of Law.

14) The Learned Counsel for the Petitioner submit that in pursuant to the notice ordered on 19/06/2018, the Applicants have issued notices to all statutory authorities namely Central Govt through Regional Director, Ministry of Corporate Affair , SE Region Hyderabad, The Registrar of Companies, Karnataka, The Official Liquidator, the Income Tax Authorities, the RBI .And also published a 'Notice of Petition' in 'The New Indian Express" English Daily and 'Kannada Prabha' Kannada Daily

Newspaper on 09/07/2018.In pursuance to the publication, no objections are received from anybody. An Accounting Treatment Certificate certified issued by the Chartered Accountant dated 21st February 2018.

15) The Official Liquidator has filed his report bearing OLR No.113/2018 dated 04/10/2018, by inter-alia stating that in pursuance to order dated 10.08.2018 passed by the Tribunal, T.S.Shivashankar & Co., Chartered Accountants was appointed to scrutinize the books of accounts and records of the Transferor Company and to submit their report enabling the Official Liquidator to submit his report under Section 230-232 of the Companies Act, 2013. Accordingly, they have submitted report dated 20.09.2018 with the Official Liquidator by inter-alia stating that Transferor Company has filed all the necessary statutory returns with various authorities, it is regular in paying taxes and salaries of the Employees, holding meetings as per law. of o0d. The Transferor Company has been regular in holding meetings of the Directors as required under the law.

Therefore, the learned Official Liquidator submit that the application can be considered as per its merit and the Transferor Company may be dissolved by the Tribunal.

16) The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 12th October, 2018 made the following observations :

i. As per Clause No.3.3 of the Scheme, Transferee Company is not required to further pay any fees on the clubbing of authorized capital of the Transferor Company with Transferee Company. In this regard as per Section 232(3)(i) of the Companies Act, 2013, Transferee Company has to pay the differential fee if any, after setting off the fee already paid by the Transferor Company on it.

ii. As per Sub Section (6) of Section 232 of the Companies Act, 2013, the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. Though in the present scheme, appointed date is specified as 01.04.2017 but not clearly stated the effective date.

iii. Shareholders of the Transferor Company are foreign entities. Hence while allotting shares to the shareholders of Transferor Company which are foreign entities, Transferee Company is required to comply necessary FEMA/RBI Regulations.

iv. As per the Balance Sheet as at 31.03.2017 of the Transferor Company and the Transferee Company, it is found that both the Companies have related party transactions. Both the companies have to comply with the provisions of Section 188 of the Companies Act, 2013.

v. The average net profit of the Petitioner Company (PBT) for the year 2015-16 and 2016-17 was more than Rs.5.00 Crores. But the Petitioner Companies shall constitute the Corporate Social Responsibility Committee and shall spend at least 2% of the average net profit of immediate preceding three financial years. Company has not spent the required amount u/s 135 of the Companies Act, 2013.

vi. Regarding letter dated 17.07.2018 of Deputy Commissioner of Income Tax, Circle-1(1)(1) in respect of Transferor Company, stating that necessary provisions may be made in the scheme to protect the interest of the revenue in case any demand is created in future.

17) In response to the above observations of Registrar of Companies, the Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, the Authorised Signatory of the

Petitioner Companies has filed an Affidavit dated 23rd October 2018 clarifying the above observations in the following manner:

1) Section 232 (3) (i) of the Companies Act, 2013 provides that "where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be set-off against any fees payable by the transferee company on its authorised capital subsequent to the amalgamation." Therefore, the Petitioner Companies will comply with the provisions of Section 232 (3) (i) of the Companies Act, 2013 as applicable, and will pay the differential fee, if any, on its authorised capital subsequent to the amalgamation, after setting-off the fee already paid by the Transferor Company on its authorised capital.
2) As per Clause 1.2 of the Scheme contains the definition of Appointed Date, as follows:

> *"Appointed Date" means the 1st day of April, 2017 or such other date as may be approved by the National Company Law Tribunal or any other appropriate authority, being the date from which the Transferor Company shall stand amalgamated with the Transferee Company, upon this Scheme becoming effective."*

Clause 1.4 of the Scheme contains the definition of Effective Date to mean the last of the dates on which certified copies of the Orders of the National Company Law Tribunal or any other appropriate authority under Sections 230 to 232 of the Act or the other relevant provisions of the Act sanctioning the Scheme are filed with the Registrar of Companies, Karnataka, by the Transferor Company and the Transferee Company.

"Clause 2 of the Scheme provides for the "Date of Taking Effect and Operative Date" and states that *"The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT or any other appropriate authority shall be operative from the Appointed Date but shall be effective from the Effective Date."*

Therefore, that the Scheme specifically provides for and clearly indicates the Appointed Date, viz., 1st day of April, 2017, which is the date from which the Scheme shall become operative and the Scheme shall be deemed to be effective from such Appointed Date, viz., 1st day of April, 2017

3) The Petitioner Company No. 2/ Transferee Company undertakes that they will duly comply with the applicable provisions of the Foreign Exchange Management Act, 1999 and the RBI Regulations made thereunder while allotting the shares to the shareholders of the Petitioner Company No. 1/ Transferor Company, which are foreign entities, upon sanction of the Scheme by this Hon'ble Tribunal.

The Petitioner Company No. 2/ Transferee Company is primarily engaged in providing business process and strategic services, data analytics and information technology related services to its parent company and its group entities as per its main objects set forth in its Memorandum of Association. The Petitioner Company No. 2/ Transferee Company has entered into certain transactions with related parties as mentioned in Section 188 of the Companies Act. All such related party transactions have been entered into by the Petitioner Company No. 2/ Transferee Company in the ordinary course of its business and on an arm's length basis and they have duly complied with the provisions of Section

188 of the Companies Act, 2013, to the extent applicable, in this regard.

The third proviso to Section 188 (1) of the Companies Act, 2013 provides as follows:

"Provided also that nothing in this sub-section shall apply to any transaction entered into by the company in its ordinary course of business other than transactions which are not at arm's length basis."

Furthermore, in terms of Section 2 (76) (viii) of the Companies Act, 2013, which contains the definition of "related party", it is provided as follows:

'2. (76) "related party", with reference to a company, means –

(viii) any company which is –

(A) A holding, subsidiary or an associate company of such company; or

(B) A subsidiary of a holding company to which it is also a subsidiary;'

In terms of the Notification No. G.S.R. 464(E) dated 05.06.2015 issued by the Ministry of Corporate Affairs, Government of India, providing for exemptions to private companies under Section 462 of the Companies Act, 2013, private companies are exempted from the applicability of the provisions of Section 2 (76) (viii) with respect to Section 188 of the Companies Act, 2013.

The Transferee Company is a private company, effective 05.06.2015, provisions of Section 188 of the Companies Act, 2013 are not applicable to the related party transactions entered

into by the Companies here. Moreover, the details of the related party transactions entered into by the Companies have been duly disclosed in the financial statements of the Companies for the financial years 2015-16 and 2016-17.

4) The Companies have duly constituted a Corporate Social Responsibility (CSR) Committee of the Board and duly made expenditures towards the CSR activities for both the financial years 2015-16 and 2016-17, which are not less than 2% of the average net profits of the company during the three immediately preceding financial years, in terms of Section 135 of the Companies Act, 2018 and also made appropriate disclosures in the Directors' Report in terms of Section 134(3)(o) of the Companies Act, 2013. The details of the CSR expenditure made by the Petitioner Company No. 2/ Transferee Company for the financial years 2015-16 and 2016-17, as per the financial statements for the aforesaid financial years are as follows:

Financial Year	Average of Net Profits (in last three preceding Financial Years)	Amount of CSR Expenditure (INR)	Financial Statements Reference
2015-16	Rs. 4,02,32,738/-	Rs. 8,50,000/-	Refer Notes 22 and 38 to the financial statements for the financial year ended March 31, 2016.
2016-17	Rs. 10,86,59,950/-	Rs. 21,73,200/-	Refer Notes 22 and 37 to the financial statements for the financial year ended March 31, 2017.

Accordingly, upon the Scheme becoming effective, the Transferee Company is expressly permitted to revise its GST/ VAT and Sales Tax returns, Excise/ Service Tax/ CENVAT returns, returns under the Income-tax Act, 1961 or any other tax returns, and to claim refunds/ credits, pursuant to the provisions of this Scheme, if any."

5) The Scheme contains the necessary provisions to protect the interest of the revenue in case any demand is created in the future. It is further stated that upon the Scheme becoming effective, on and from the Appointed Date, all taxes payable by the Transferor Company shall be treated as the tax liabilities of the Transferee Company. The Transferee Company undertake that it shall meet any such tax demands with respect to the Transferor Company in the future.

18. The learned Counsel for the Petitioner Companies has furnished the certificate of Price Waterhouse & Co., Chartered Accountants LLP, Statutory Auditors of the Petitioner Companies stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standards prescribed under Section 133 of the Act read with rules made there under and other generally accepted accounting principles. The Certificate of the Chartered Accountant dated 19th April, 2018 is filed in the Petition.

19. After perusal of instant Scheme of Amalgamation and Arrangement of the Companies involved here (which is placed at Annexure A page 38-57 of the petition) I find that the Scheme is comprehensive one complying with all provisions of Sections 230 to 232 of Companies Act, 2013. It covers all issues relating to legal proceedings, continuation of contracts, deeds, therefore, the Scheme in question prima facie satisfies primary conditions to sanction it subject to compliance of various undertakings as mentioned in the scheme and to follow/comply various observations made by the Statutory Authorities as detailed supra. It is also appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be provisionally approved.

20. In view of the above facts and circumstances of the case, C.P (CAA) No. 35/BB/2018 is disposed of with the following directions:

(1) The Scheme of Amalgamation and Arrangement between M/s AIG DATA SERVICES PRIVATE LIMITED, and AIG ANALYTICS & SERVICES PRIVATE LIMITED (which is enclosed as Annexure A, page 38-57 to the Company petition) is provisionally approved subject to compliance/follow various undertakings as mentioned supra;

(2) The Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

(3) Since the approval of instant Scheme is provisional and conditional, all the Statutory Authorities are entitled to take appropriate action in accordance with law and they are also at liberty to approach this Tribunal by filing Miscellaneous Applications in the instant application

(4) The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation and Arrangement i.e., 1st April, 2017.

(5) Any person(s) who is aggrieved by this order is/are at the liberty to apply to this Tribunal by filing miscellaneous application in instant Application itself by seeking any directions that may be necessary.

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

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